

Monetization Strategy



Priceless Penny



Part One: Original Pricing Scheme



Product Description

The product offered by the company is online learning in the domains of recreational and professional development. It targets individuals looking to provide employees with professional and recreational development.

- Classes only start on the first of the month.
- Learners can choose between three paid tiers: Basic, Professional, and Premium.
- Learners can't change their subscription during the month; they can only request the change that will take effect at the beginning of the following month (even cancellations).
- Learners pay each month, and their payment is deducted on the first day of their month when they start/continue learning.
- Free-tier learners do not cancel their accounts; they just stop using the platform.



Acquisition channels

The company has two acquisition channels:

- Paid search: The company is not focused on optimizing its campaigns, which results in an increasing cost of CPC
- Paid referral: All learners can refer their friends, even if they are not paying customers. If they sign up for a paid plan, then both learners are instantly paid a referral bonus of 50\$.



Calculate the models

You need to create the models by calculating the missing data in the Priceless Penny Project spreadsheet. It already contains all the starter data that you will need. During your work, please pay attention to the following parts from the briefing:

- Customers change their status during a month (upgrade/downgrade/cancel), but it only takes effect at the beginning of the following month.
- Customers only pay when they start the class.
- Because no change happens during the month, the total revenue calculation does not include expansion or contraction.
- All active learners can send referral emails. The referral cost is incurred as soon as the referral signs up.
- The "Fixed Values" column contains the values you should use every month.
- Do not change any provided (blue) value except for the last part of the project.
- All the cells you need to calculate are highlighted, but if you think you need any additional ones, feel free to add them.
- Do not use any rounding in your calculations, not even for the number of students.



Tips for the calculations

- Use the \$ sign to fix the column or the row in a formula.
- Some inputs for a given month might come from the previous month.
- Once you have a formula for a row, you can copy it to all the other columns in the row, even if the input has not been filled in for all the months yet.



Order of the calculations

Some calculation results serve as an input to others. You can do the calculations in any order you like, but if you need some help, the steps below are the ones we would follow.

1. Acquisition during the month - Paid Referral
2. Acquisition during the month - Paid Search
3. Non-Paying Learners - Growth Accounting
4. Plan Upsell
5. Plan Downgrade
6. Plan Cancellation
7. Plan Change Requests by Existing Customers During the Month
8. Paying Learners Starting - Growth Accounting
9. Revenue Accounting
10. Cost of Goods Sale
11. Gross margin
12. Operating Expenses
13. Operating Margin



Check your calculations

After the December 2024 column, you will find one named "Value checker". It is, by default, red, but if you fill out the row with the correct values, it will turn green. Use this indicator to ensure that your numbers for the row are correct.

It only checks the December 2024 value; therefore, it will only work once the whole row is filled with the final data. You mustn't round any numbers in your calculations, as the checker would not work with that.

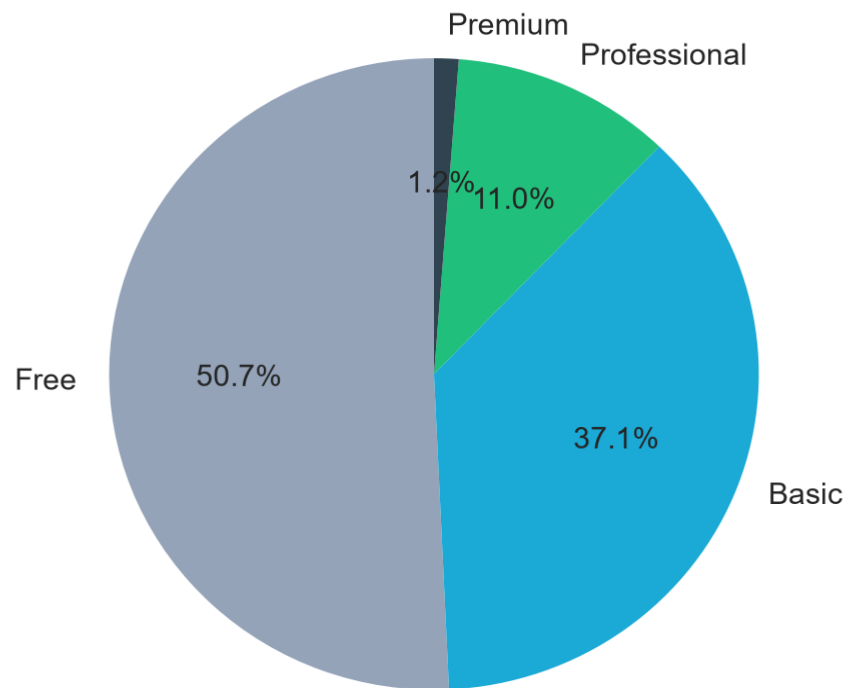


Part Two: Insights from the data



Customer Sign Ups in 2024

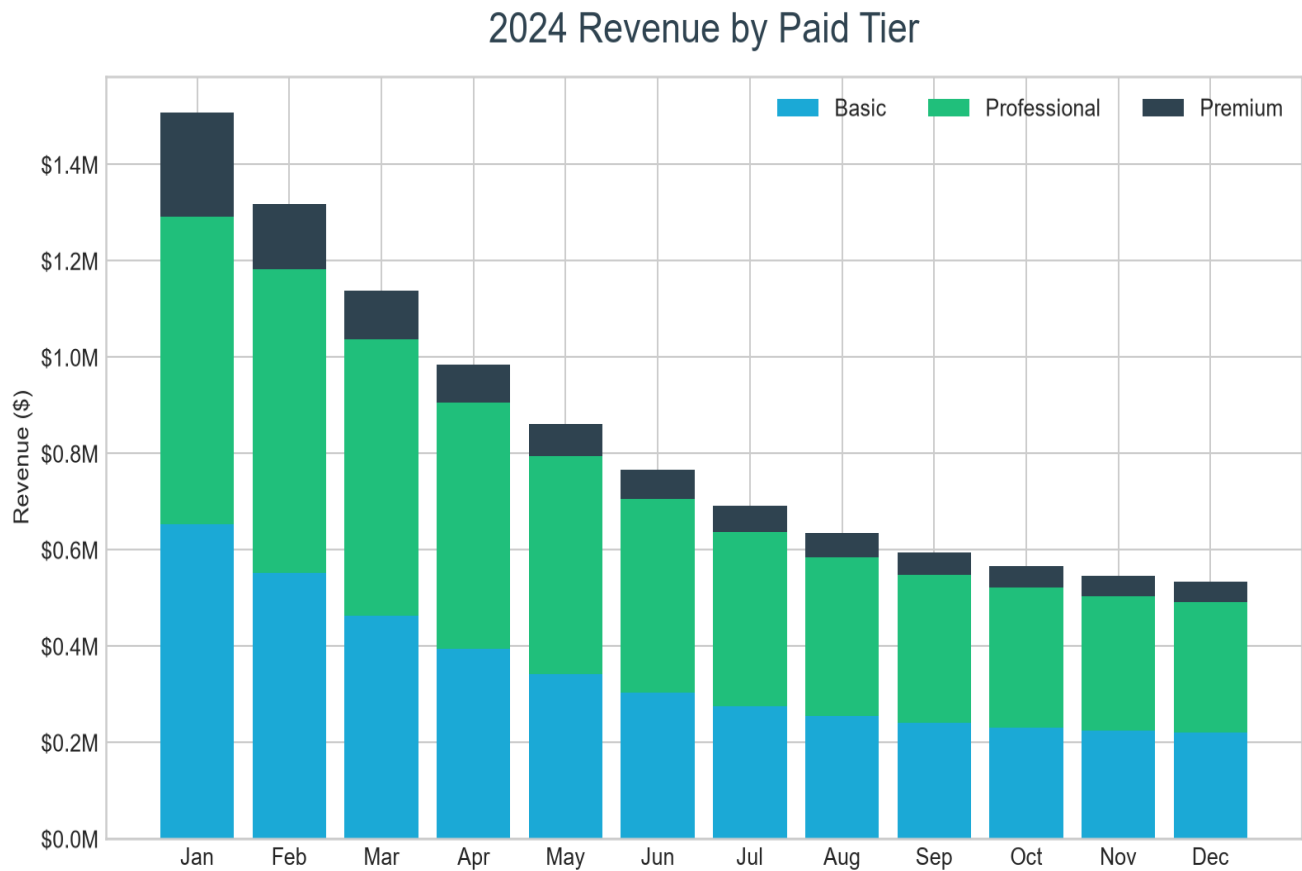
2024 New Customers by Tier



Free tier signups constitute 51% and are the majority of the customer sign ups 2024. Only 1% are Premium users



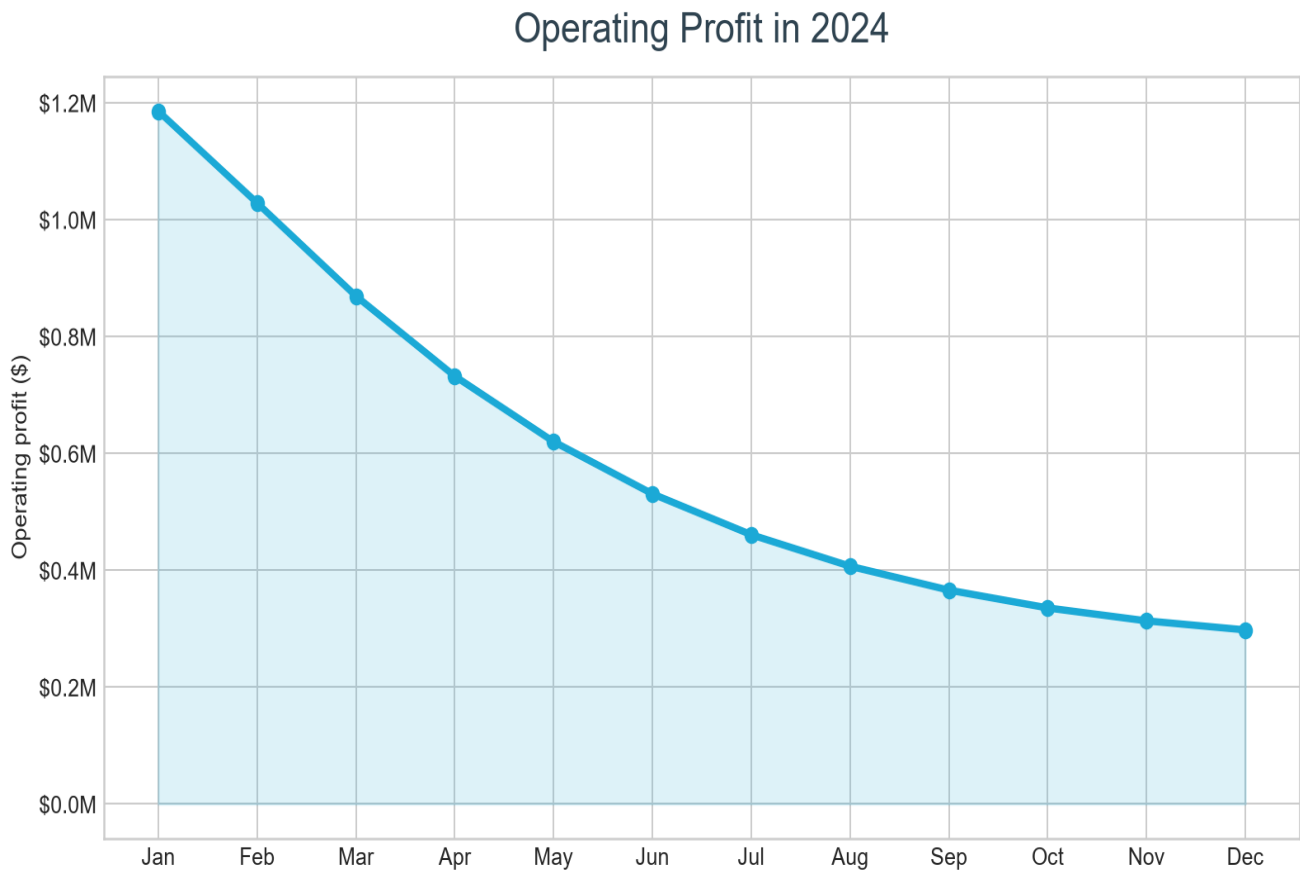
Revenue from different tiers in 2024



Professional plans contribute most to the revenue. This is followed by basic plans. Upgrading learners is a priority.



Operating Profit in 2024



Operating profit declines over 2024 as the paid customer base contracts while advertising spend rises. Retention and upsell conversion therefore offer the clearest profit levers.



Part Three: Recommendations



Recommendation 1

Reduce Professional cancellation-start rate from 44% to 34%.

Professional-plan cancellation is the largest modeled churn pressure. Improve cancellation saves through proactive success outreach, annual-plan offers, and targeted product support. This is possible when professional cancellation drops by 10 %

Yearly Original Operating Profit in 2024	\$7,147,816
Yearly Operating Profit in 2024 if recommendation implemented	\$8,379,884
Operating profit increase	17.1%



Recommendation 2

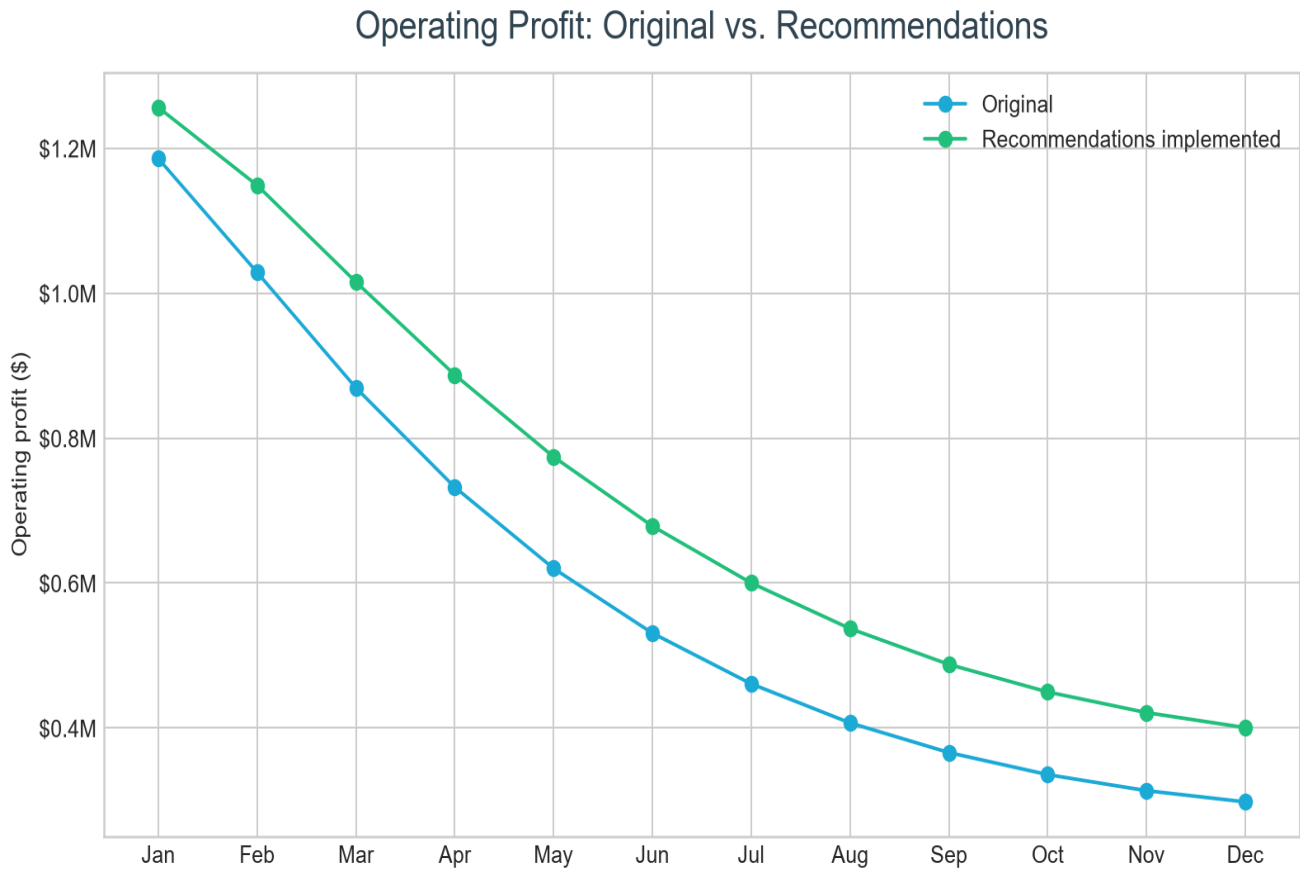
Raise the Basic-to-Professional upsell conversion from 40% to 52%.

Basic is the largest paid cohort. A focused value-messaging and upgrade-path experiment can increase conversion to Professional. The scenario changes only the Basic upsell conversion and keeps pricing, acquisition, and cancellation assumptions unchanged.

Yearly Original Operating Profit in 2024	\$7,147,816
Yearly Operating Profit in 2024 if recommendation implemented	\$7,313,061
Operating profit increase	2.3%



Operating Profit in 2024 with recommendations



The combined scenario improves operating profit throughout the year by retaining more Professional learners and converting more Basic learners to Professional.